

Chapter 3: Safety Responsibility

The Liability Insurance Law

The *Texas Motor Vehicle Safety Responsibility Act* was enacted to ensure all drivers are financially responsible for the death, injury, or property damage they may cause while operating a motor vehicle. All owners and/or operators of motor vehicles in Texas must have at least the minimum amount of liability insurance.

As of January 1, 2011, the minimum amount of liability insurance is:

- \$30,000 against injury or death of one person
- \$60,000 against injury or death of two or more individuals
- \$25,000 against property damage

To comply with the *Texas Motor Vehicle Safety Responsibility Act*, a driver, unless exempt, must maintain liability insurance or be self-insured under the provisions of the Act. Evidence of financial responsibility must be presented at the time a person applies for a driver license, registers a motor vehicle, or obtains a motor vehicle inspection report.

Every owner or operator of a motor vehicle in Texas is required to furnish evidence of financial responsibility to a law enforcement officer upon request or to another person involved in a crash.

Evidence of Financial Responsibility

The following list includes items that will be accepted as evidence of financial responsibility.

1. A liability insurance policy in at least the minimum amounts.
2. A standard proof of liability insurance form prescribed by the Texas Department of Insurance and issued by a liability insurer that includes the:
 - a. Name of the insurer, insurance policy number, and policy period;
 - b. Name and address of each insured;
 - c. Policy limits or a statement the coverage of the policy complies with at least the minimum amounts of liability insurance required by this Act; and
 - d. The make and model of each covered vehicle.
3. An insurance binder indicating the owner and/or operator is in compliance.
4. A certificate issued by the state comptroller showing the owner of the vehicle has on deposit with the comptroller, money or securities for at least \$55,000.
5. A surety bond issued by DPS showing the vehicle has a bond on file with DPS.
6. A certificate or copy of a certificate issued by the county judge of a county in which the vehicle is registered that shows the owner of the vehicle has on deposit with the county judge, cash or a cashier's check for at least \$55,000.
7. A certificate or copy of a certificate of self-insurance, issued by DPS, which shows the person has more than 25 vehicles registered in his/her name.
8. An image displayed on a wireless communication device that includes the information required in a standard insurance form.

Failure to Provide Evidence of Financial Responsibility

If an individual fails to provide evidence of financial responsibility when required, he/she may receive a citation. The court may dismiss the charge if the individual provides evidence that a liability insurance policy was in effect when the citation was issued.

Upon conviction of driving a motor vehicle without sufficient evidence of financial responsibility as required, a driver is subject to penalties.

Table 13: Penalties for Driving Without Evidence of Financial Responsibility

Conviction	Penalty
1st conviction	A fine of \$175 to \$350.
2nd conviction and each subsequent conviction	Suspension of driver license, a fine of \$350 to \$1,000, and court-impoundment of the motor vehicle driven or operated by the person at the time of the offense provided the defendant was an owner of the vehicle at the time of the offense and is an owner of the vehicle on the date of conviction. The vehicle shall be impounded for 180 days. Before the court orders the release of the vehicle, evidence of financial responsibility must be presented to the court.